THE 23 RED FLAGS

That Kill Accounting Firm Sales

This comprehensive assessment reveals the hidden issues that derail accounting firm exits before they happen. These red flags come from real experience - they're the actual problems that emerged during a 7-figure accounting firm sale process.

FINANCIAL PRESENTATION RED FLAGS

1. Inconsistent Monthly Financial Reporting

Missing months, late closes, or different formats each period. Buyers need to see consistent, professional reporting.

2. Revenue Recognition Inconsistencies

Mixing cash and accrual methods, or inconsistent treatment of retainers, work-in-progress, and seasonal adjustments.

3. Personal Expenses Mixed with Business

Owner's personal costs running through the business without clear documentation of add-backs.

4. Unexplained Revenue Fluctuations

Large month-to-month variations without clear seasonal patterns or business explanations.

5. Missing Supporting Documentation

Bank reconciliations, trial balances, or source documents that can't be produced quickly during due diligence.

CLIENT CONCENTRATION & RISK RED FLAGS

6. Over-Concentration in Single Client

Any client representing more than 15-20% of revenue creates buyer concern about sustainability.

7. Related Party Revenue

Significant revenue from entities owned by the seller or family members without arm's length pricing.

8. Industry Over-Concentration

More than 40% of revenue from a single industry creates sector risk concerns.

9. Aging Accounts Receivable

Large amounts over 90 days or clients consistently paying late without collection efforts.

10. Client Retention Issues

High client turnover, recent large client losses, or clients expressing dissatisfaction.

OPERATIONAL DEPENDENCY RED FLAGS

11. Owner-Dependent Relationships

Key clients who work exclusively with the owner and have no relationship with other staff.

12. Undocumented Processes

Critical procedures that exist only in the owner's head with no written systems or training materials.

13. Single Points of Failure

Key employees (other than owner) whose departure would significantly impact operations.

14. Manual, Non-Scalable Processes

Heavy reliance on manual procedures that don't scale or integrate with modern systems.

15. No Cross-Training

Staff who can only perform specific tasks with no backup coverage for key functions.

TECHNOLOGY & SYSTEMS RED FLAGS

16. Outdated Technology Stack

Legacy software that's no longer supported or incompatible with modern accounting standards.

17. Data Security Vulnerabilities

Lack of proper cybersecurity measures, outdated security protocols, or recent security incidents.

18. Poor Integration Between Systems

Manual data entry between different software platforms creating inefficiency and error risk.

LEGAL & COMPLIANCE RED FLAGS

19. Outstanding Legal Issues

Pending litigation, regulatory investigations, or unresolved professional liability claims.

20. Compliance Gaps

Missing professional licenses, lapsed insurance coverage, or failure to meet continuing education requirements.

21. Employment Law Issues

Misclassified employees, unpaid overtime claims, or HR policy gaps that create liability.

STRATEGIC & POSITIONING RED FLAGS

22. Declining or Flat Revenue Trends

Multi-year patterns showing no growth or consistent decline without clear turnaround strategy.

23. Poor Service Mix

Over-reliance on low-margin compliance work without higher-value advisory services.

HOW TO USE THIS LIST

Step 1: Honest Assessment

Go through each red flag and honestly evaluate whether it applies to your firm.

Step 2: Prioritize by Impact

Some red flags are deal-killers, others just reduce valuation. Focus on the most critical issues first.

Step 3: Create Action Plan

Develop specific steps to address each identified red flag with realistic timelines.

Step 4: Document Progress

Track your improvements so you can demonstrate positive changes to potential buyers.

Remember: The goal isn't perfection - it's preparation. Buyers expect some issues, but they want to see that you've identified and addressed them proactively rather than having surprises emerge during due diligence.